UNIT 4

Intellectual Property Rights

Patents | Trade Marks

Topics Covered

- A-Introduction to IP & Types of IP
- B-Patents Introduction, Scope and Salient Features
- C-Patent Procedure, Transfer of Rights, Traditional Knowledge
- D-Patent Infringement, Remedies & Case Studies
- E-Patent Search, Drafting, Commercialization & Valuation
- F-Trade Marks Concept, Kinds, Registration
- G-Deceptive Similarity, Transfer of Trade Mark
- H-ECO Labels, Passing Off, Infringement & Remedies

A. Introduction to Intellectual Property

A.1 What is Intellectual Property?

Intellectual Property (IP) refers to creations of the human mind — inventions, literary and artistic works, designs, symbols, names, and images used in commerce. IP law grants creators exclusive rights over their creations for a limited period, encouraging innovation and protecting economic interests.

A.2 Types of Intellectual Property

There are four major categories of IP recognized internationally and under Indian law:

Type of IP	What it Protects	Duration (India)
Patents	New inventions — products, processes, methods	20 years from filing date
Trade Marks	Signs, logos, words, symbols identifying goods/services	10 years; indefinitely renewable
Copyright	Literary, artistic, musical, dramatic works	Lifetime of author + 60 years
Geographical Indications (GI)	Products from a specific geographical origin (e.g., Darjeeling Tea)	10 years; renewable
Industrial Designs	Ornamental or aesthetic features of a product	10 years; renewable once
Trade Secrets	Confidential business information, technical know-how	As long as kept secret

A.3 Objectives of the IP System

- Encourage innovation and technological advancement.
- Protect inventors' and creators' rights.
- Promote industrial and economic growth.
- Prevent unfair competition and misappropriation.

B. Patents — Introduction, Scope & Salient Features

B.1 What is a Patent?

A patent is a legal right granted by the government to an inventor for a novel, non-obvious, and industrially applicable invention. It gives the inventor the exclusive right to exclude others from making, using, selling, or distributing the invention without permission — generally for 20 years from the date of filing.

📌 **Definition (Key Terms)**

Novel → Not previously known or disclosed anywhere in the world.
Non-Obvious / Inventive Step → Not obvious to a person skilled in that field.
Industrially Applicable / Utility→ Capable of practical use or manufacturing.

B.2 Scope of a Patent

The scope of a patent defines the extent of protection. It covers:

- Rights to exclude others from commercially exploiting the invention.
- Coverage for products, processes, and methods that are technically novel.
- Encouragement of R&D, since legal protection reduces the risk of copying.
- Applicability in industrial production, contributing to economic development.

B.3 Salient Features of a Patent

Feature	Explanation
Novelty	Invention must not have been disclosed or known before the filing date.
Inventive Step (Non-Obviousness)	Not obvious to a skilled person in the relevant field.
Industrial Applicability (Utility)	Useful and capable of practical implementation.
Exclusivity	Inventors can prevent unauthorized use by others.
Limited Term	Valid for 20 years in India; lapses if annual fees are not paid.
Disclosure Need	Full description of invention must be disclosed publicly.
Territorial	Patent protection is country-specific; need separate filings in each country.

B.4 Patentable Inventions

An invention is patentable if it satisfies all three criteria: Novelty + Inventive Step + Industrial Applicability.

- New type of engine or robotic arm (mechanical device).
- Novel drug molecule or improved drug delivery process (pharmaceutical).
- An improved chemical process or software algorithm with a measurable technical effect.
- A solar-powered mobile charger with superior charging speed (new + useful + applicable).
- A robot that automatically cleans solar panels.

B.5 Non-Patentable Inventions (Section 3, Indian Patents Act 1970)

Certain categories are excluded from patent protection to protect public interest, traditional knowledge, and fundamental scientific principles.

Category	Example
Discoveries of Natural Substances	A naturally occurring mineral or plant compound
Mathematical Methods / Abstract Theories	A formula for predicting weather patterns
Business Methods (without technical innovation)	An online payment scheme
Aesthetic Creations / Artistic Works	A new sculpture design (protected by copyright instead)
Inventions contrary to Public Order / Morality	A chemical weapon or process to harm humans
Plants and Animals (except GMOs of microorganisms)	A new plant species discovered in a forest
Traditional / Indigenous Knowledge	Turmeric's or neem's medicinal properties already known in India
Mere discoveries of scientific principles	Einstein's $E=mc^2$ — already a discovery, not an invention

C. Patent Procedure, Transfer of Rights & Traditional Knowledge

C.1 Overview of Patent Procedure (India)

Step	What Happens
1. Patent Search (Optional)	Search IPO, PCT databases to check for similar existing patents.
2. File Application	Submit Provisional or Complete Application to the Indian Patent Office (IPO).
3. Publication	Application is published after 18 months from the filing or priority date.
4. Request for Examination (RFE)	Applicant files RFE within 48 months from filing; IPO examines novelty, inventive step, industrial applicability.
5. First Examination Report (FER)	Patent Office issues objections (if any); applicants must respond.
6. Hearing (if needed)	If objections persist, the applicant attends hearings before the Patent Office.
7. Grant of Patent	If satisfied, a patent is granted usually after 3-5 years and published in the Patent Journal.
8. Renewal / Maintenance	Annual fees must be paid to maintain the patent for 20 years.

C.2 Transfer of Patent Rights

A patent is a property right that can be transferred like any other asset. The two main modes of transfer are:

Mode	Definition	Key Feature
Assignment	Complete or partial transfer of ownership of the patent to another person/company.	Ownership changes; must be registered with the IPO.
Licensing	Permission given to another party to use the patented invention under specific terms.	Owner retains ownership; the licensee pays royalties.

Types of Licenses

- Exclusive License: Only the licensee can use; even the patent owner cannot use it.
- Non-Exclusive License: Multiple parties including owner can use it simultaneously.
- Compulsory License: Government-authorized use of a patent without owner's consent, gets compensation for it instead.

📌 Compulsory Licensing (Important)

Definition: A provision under patent law allowing the government to authorize a third party to produce, use, or sell a patented product WITHOUT the patent holder's consent.

Situations: Public health emergencies, non-availability at reasonable price, national emergency.

Example: Bayer vs. Natco case (2012) resulted in India's first-ever Compulsory Licence because Bayer's cancer drug, Nexavar, was deemed unaffordable at ₹2.84 Lakh per month. The Controller of Patent Board allowed Natco to produce a generic version for just ₹8,880, a 97% price drop, to ensure patient access. In exchange, Natco was ordered to pay Bayer a 6% to 7% royalty on all generic sales.

Legal Basis: Section 84-92 of the Indian Patents Act, 1970.

C.3 Protection of Traditional Knowledge (TK)

Traditional Knowledge refers to knowledge, innovations, and practices of indigenous/local communities. India has taken strong steps to prevent biopiracy — the unauthorized use of traditional knowledge.

Key Measures

- Traditional Knowledge Digital Library (TKDL): India's database of 34 million pages of formatted TK, shared with international patent offices to prevent wrongful patents.
- Prior Art Documentation: Documenting TK creates 'prior art', which defeats novelty claims in patent applications.
- Biological Diversity Act, 2002: Requires sharing of benefits with communities from whose knowledge a commercial product is derived.

Case	Outcome
Turmeric Patent (USA, 1995)	US Patent granted for wound-healing property of turmeric. India challenged using ancient Sanskrit texts — patent REVOKED.
Neem Patent (EPA, 1994)	European Patent on neem-based pesticide challenged by India using TKDL — patent REVOKED.
Basmati Rice Case (US, 1997)	A US company claimed a patent on basmati rice. India successfully defended using GI and TK protection.

D. Patent Infringement, Remedies & Case Studies

D.1 What is Patent Infringement?

Patent infringement occurs when any person, without the patent holder's consent, makes, uses, sells, offers for sale, or imports the patented invention within the country and during the patent's validity period.

Rights of Patentee

1. Exclusive Rights: Can make, use,Right to License: Can grant licenses or assign rights to others to commercially benefit.
2. Right to Sue: Can file infringement cases in District Court or High Court against unauthorized use.
3. Right to Damages/Injunction: Can claim compensation and seek court orders to stop infringement.
4. Right to Surrender: Can voluntarily give up the patent under Section 63.
5. Right of Priority: Gets priority date advantage in international filings under the Paris Convention.

Forms of Patent Infringement

1. Direct Infringement: most common type, when a product/process directly falls within patent claims and is used without permission of the owner.
2. Indirect Infringement: when a party knowingly encourages or facilitates another to infringe
3. Willful Infringement: when deliberate violation of a known patent occurs, often after being notified.
4. Literal Infringement: when the accused product exactly matches the patent claim language.
5. Doctrine of Equivalents (Non-literal): even without exact match, infringement exists if function, way, and result are substantially the same.

D.2 Remedies for Patent Infringement

Civil Remedies

- Injunction: Court order stopping the infringer from continuing the infringing activity.
- Damages / Account of Profits: Compensation for losses suffered or profits made by the infringer.
- Delivery up / Destruction: Court may order infringing goods to be seized, delivered up, or destroyed.

Criminal Remedies

- Falsely representing a patent in "Patent Register" (Section 120)- fine of upto ₹1,000,000
- Unauthorized use of "Patent Office" (Section 121)- imprisonment for upto 6 months

Other Measures

- Border Measures: Customs can seize and detain infringing imports or exports.
- Anton Piller Orders: Court-granted permission to search & seize premises of an infringer.

D.3 Important Case Studies — Patents

Case	Issue	Outcome / Principle
Roche v. Cipla (2008)	Roche's anti-cancer drug 'Erlotinib' — Cipla started selling a generic version.	Delhi HC balanced patent rights with public health; Cipla allowed it to continue. Shows compulsory licensing in spirit.
Novartis v. Union of India (2013)	Novartis sought a patent for Imatinib Mesylate (Gleevec). India's Section 3(d) rejected it.	Evergreening of patents is not allowed. Section 3(d) protects against trivial modifications being patented.
Turmeric Case (CSIR vs. US)	US patent on wound healing with turmeric.	Patent revoked — prior art (traditional knowledge) prevailed.

E. Patent Search, Drafting, Commercialization & Valuation

E.1 Patent Search

Definition: The process of searching existing patents and published applications to determine novelty and patentability of an invention before filing.

Why is Patent Search Important?

1. Avoids duplication of work
2. Saves time and money in filing.
3. Confirms the invention is truly novel.
4. Refine the patent claims to be distinct from existing patents.
5. Identifies prior art that might block patents.

Key Patent Databases

Indian Patent Office (IPO),
WIPO (World Intellectual Property Organization),
USPTO (US Patent and Trademark Office),
Espacenet (European Patent Office)

E.2 Patent Drafting

Definition: The process of preparing the written document of a patent application — including specifications, claims, and drawings that describe the invention clearly and precisely.

Components of a Patent Application

Component	Purpose
Title of Invention	Concise and descriptive name of the invention.
Preamble / Field of Invention	Background and technical field to which it belongs.
Prior Art / Background	Existing technologies and their limitations.
Summary / Object of Invention	Brief overview of what the invention achieves.
Claims	[IMPORTANT] It defines the legal scope of protection. Each claim is a distinct right. Independent+dependent claims.
Detailed Description	Full technical description enabling replication by a skilled person.
Drawings / Diagrams	Illustrate the invention; required for mechanical inventions.
Abstract	Brief 150-word summary for search purposes.

E.3 Commercialization of IP

Definition: Commercialization means converting an invention or intellectual property into a marketable product or service to generate revenue.

Methods of Commercialization

- Licensing: Granting permission to others to use the IP for royalties (licensor retains ownership).
- Assignment / Sale: Complete transfer of IP ownership for a lump sum payment.
- Joint Venture: Partnering with another company to commercialize the IP.
- Spin-off / Start-up: Creating a new company based on the patented technology.
- Franchising: Licensing complete business model including IP (e.g., McDonald's).

E.4 Valuation of Intellectual Property

Definition: Valuation is the process of determining the monetary worth of IP assets — essential for mergers, acquisitions, licensing, investments, or balance sheet reporting.

Valuation Method	Basis	Best Used For
Cost-Based Method	What it cost to create/develop the IP	Early-stage inventions with limited market data
Market-Based Method	Price at which similar IP has been sold/licensed	IP with active market comparables
Income-Based Method	Present value of future income the IP is expected to generate	Revenue-generating IP like patents, brands

F. Trade Marks — Concept, Kinds & Registration

F.1 What is a Trade Mark?

A trademark is a sign, symbol, word, logo, shape, colour, or combination thereof that distinguishes the goods or services of one enterprise from those of others. It acts as a badge of origin.

📌 **Key Definition**

Under Trade Marks Act, 1999 (India): A mark capable of being represented graphically and capable of distinguishing the goods or services of one person from those of others.

Examples: Nike Swoosh, Coca-Cola, Intel jingle, Cadbury purple.

F.2 Functions of a Trade Mark

Function	Explanation
Source Identifier	Indicates the origin of goods/services to consumers.
Quality Indicator	Signifies consistent quality the consumer can rely on.
Brand Promotion	Enables effective advertising and marketing.
Legal Protection	Provides exclusive rights to use and enforce against infringers.
Economic Asset	Can be licensed, assigned, or franchised to generate revenue.
Goodwill Carrier	Represents the accumulated reputation of the business.

F.3 Kinds and Forms of Trade Marks

Kind	Description	Example
Word Mark	Words, letters, or numerals	APPLE, AMUL, 3M
Device Mark / Logo	A symbol, picture, or design	Nike Swoosh, Twitter Bird
Shape Mark / Trade Dress	Unique shape of product or packaging	Coca-Cola bottle shape
Colour Mark	A specific colour or combination	Cadbury purple, Tiffany blue

Sound Mark	A distinctive sound or jingle	Intel's 5-note jingle, Harley Davidson engine sound
Smell Mark	A unique scent (rarely granted)	scent of Play-Doh, scent of roses applied to tires
Service Mark	Identifies services (not goods)	Airlines, hotel logos, bank logos
Collective Mark	Used by members of an association/group	CA logo used by ICAI members
Certification Mark	Certifies quality, standard, or origin; not used by owner	ISI, AGMARK, Ecomark, Woolmark

F.4 Registrable vs. Non-Registrable Marks

Registrable Marks (Section 9 & 11, TM Act 1999)

A mark can be registered if it is:

- Distinctive and capable of distinguishing goods/service.
- Not descriptive of the goods/services.
- Not a common word, geographical name, or personal name.
- Not deceptive or likely to cause confusion.

Non-Registrable Marks

Category	Reason / Example
Generic/Common Words	"Laptop" for computers — cannot be monopolized by one brand.
Descriptive Words	"Cold" for a refrigerator brand — directly describes the product.
Deceptive Marks	A mark suggesting a quality the product doesn't possess.
Identical/Similar to Existing Mark	Confusingly similar marks cannot coexist in same class.
National / State Symbols	Indian Flag, Ashoka Chakra — protected and cannot be trademarked.
Religious Symbols or Names	Marks offensive to religious sentiments.
Marks contrary to Morality	Obscene or scandalous marks are non-registrable.
Well-Known Marks (Section 11(2))	A mark too similar to a globally famous mark (e.g., 'Addidas' vs. 'Adidas').

F.5 Registration Procedure for Trade Marks (TM Act 1999)

Step	Details
1. Trademark Search (Optional)	Search TMR database to check for similar existing marks.
2. File Application (Form TM-A)	File with the Registrar of Trade Marks — specify applicant details, mark, class of goods/services.
3. Examination	Registrar checks for absolute (Sec. 9) and relative (Sec. 11) grounds of refusal.

4. Examination Report / Objection	If objections raised, applicant responds within 1 month (extendable to 3 months).
5. Acceptance or Refusal	If resolved → Accepted; if unresolved → Refused (can appeal).
6. Publication in TM Journal	Accepted mark published for 4 months — open for opposition.
7. Opposition (if any)	Third parties may oppose; heard by Registrar.
8. Registration & Certificate	Mark entered in Register; Certificate issued. Valid 10 years, renewable indefinitely.

G. Deceptive Similarity & Transfer of Trade Mark

G.1 Deceptive Similarity

Deceptive similarity refers to a mark that is so similar to an existing registered mark that it is likely to deceive or cause confusion in the minds of consumers about the origin, nature, or quality of goods/services.

Factors Considered by Courts (Section 11(1), TM Act 1999)

- Visual Similarity: Resemblance in spelling, font, style, or appearance.
- Phonetic Similarity: Similar pronunciation or sound (e.g., 'Coke' vs 'Koke').
- Conceptual/Structural Similarity: Overall impression, ideas conveyed, and packaging.
- Nature of Goods/Services: Same or closely related goods increase likelihood of deception.
- Consumer Awareness: Ordinary consumer's perception — the 'eye of the average person.'

⚖️ Case Study — Deceptive Similarity

Cadila Health Care Ltd. v. Cadila Pharmaceuticals Ltd. (2001):
Two companies used names 'Falcitab' and 'Falcigo' for anti-malaria drugs.
Court held: Similar sounding drug names are deceptively similar — could endanger patients.
Principle: In pharmaceutical cases, courts apply stricter standards due to public health risk.
Also — 'Addidas' vs 'Adidas', 'Glucon-D' vs Glucose-D': Phonetically and visually deceptively similar.

Measures to Avoid Deceptive Similarity

- Conduct thorough trademark search in Indian and international databases (TMR, WIPO, USPTO).
- Use distinctive features, non-generic, invented words for better protection (e.g., XEROX, KODAK).
- Consult IP experts / trademark attorneys for novelty assessment.
- Respond promptly to Registrar Examination Reports citing deceptive similarity.

G.2 Transfer of Trade Mark

Trade marks, like other forms of IP, can be transferred to other parties through the following methods:

Basis	Assignment	Licensing
Ownership	Transfers fully to assignee	Owner (licensor) retains ownership
Consideration	Usually involves lump sum payment / sale	Licensor receives royalties or fees
Scope	Can be partial or total (with or without goodwill)	Only right to use under agreed terms

Legal Effect	Must be recorded in Register of Trade Marks to be valid against third parties	License agreement may or may not require registration
Example	Company A sells its brand 'FreshBrew' to Company B	Company A allows Company B to use 'FreshBrew' in a specific territory for 5 years

Types of Trade Mark Transfers

- Assignment with Goodwill: Transfer of mark along with the business reputation and goodwill. Assignee can use the mark for the same goods/services.
- Assignment without Goodwill: Assignee cannot use the mark for the goods for which the original owner used it to avoid consumer confusion.
- Partial Assignment: Transfer limited to specific goods, services, or geographic territory.
- Transmission: Transfer by operation of law (e.g., death of owner, insolvency). Rights pass to legal heirs or receivers.

H. ECO Labels, Passing Off & Trade Mark Infringement

H.1 Eco Labels

Definition: An Eco Label is a mark or certification placed on products indicating that they meet certain environmental or sustainability standards in terms of production, consumption, and disposal.

Purpose and Examples

- Informs consumers about eco-friendly or sustainable practices.
- Promotes market differentiation for green products.
- Supports government environmental policies.
- Examples: Energy Star (USA), Ecomark (India — issued by BIS), EU Eco-label.

⚠️ Misuse of Eco Labels

Using 'Ecomark' without meeting environmental standards = ILLEGAL.
Legal Consequences: Penalties under Consumer Protection Act, Environmental Laws, and TM Act.
Greenwashing — falsely claiming eco-friendly status — is actionable under consumer protection laws.

Eco Label vs. Trade Mark — Key Differences

Basis	Eco-Label	Trade Mark
Purpose	Indicates environmental/sustainability standards	Identifies origin/source of goods or services
Ownership	Government or independent certification body	Individual, company, or organisation
Legal Protection	Protected as certification mark or under eco-label regulations	Protected under Trade Marks Act, 1999
Focus	Environmental impact of product	Brand identity and commercial goodwill
Example	Energy Star, Ecomark India	Nike, Amul, TATA

H.2 Passing off

Definition: Passing off is a common law tort that protects unregistered marks. It prevents a business from misrepresenting its goods or services as those of another established brand to avoid confusion in the market.

Three Essential Elements (Classical Trinity — Jif Lemon Case Principle)

- Goodwill / Reputation: Plaintiff's business has an established reputation in the market.
- Misrepresentation: Defendant falsely represents their goods/services as those of the plaintiff
- Damage: Plaintiff actually suffers or is likely to suffer loss of goodwill, sales, or reputation.

⚖️ Classic Case — Jif Lemon

Reckitt & Colman Products Ltd. v. Borden Inc. (1990) — 'Jif Lemon Case':
Borden copied the unique lemon-shaped bottle of Jif lemon juice.
House of Lords held: This was passing off — misrepresentation of origin affecting goodwill.
Remedy: Injunction against Borden's use of the lemon-shaped bottle.

Passing Off vs. Trade Mark Infringement — Key Differences

Basis	Passing Off	Trade Mark Infringement
Law	Common law tort	Statutory — Trade Marks Act, 1999
Registration	NOT required	MUST be registered
Focus	Protects goodwill and reputation	Protects registered legal rights
Proof	Must prove goodwill + misrepresentation + damage	Unauthorized use of identical/similar registered mark is sufficient

H.3 Trade Mark Infringement

Under Section 29(1) of the Trade Marks Act, 1999, infringement occurs when a person, without the consent of the registered proprietor, uses in the course of trade a mark identical or deceptively similar to the registered mark in relation to the goods/services for which it is registered.

Forms of Trade Mark Infringement

- Direct Infringement: Using an identical mark on identical or similar goods/services.
- Deceptively Similar Marks: Using marks confusingly similar to the registered mark.
- Use in Trade without Authorization: Importing, selling, advertising, or storing infringing goods.
- Dilution of Well-Known Marks: Even on unrelated goods, use of a famous mark can be infringement

H.4 Remedies for Trade Mark Infringement

Civil Remedies (Section 134, TM Act 1999)

- Injunction: Court order restraining further use of the infringing mark.
- Damages / Account of Profits: Plaintiff can claim actual losses or infringer's profits.
- Delivery up / Destruction: Court orders seizure and destruction of infringing goods.

Criminal Remedies (Section 103, TM Act 1999)

- Imprisonment: Up to 3 years (minimum 6 months).
- Fine: Up to Rs. 2,00,000 (minimum Rs. 50,000).
- Both imprisonment and fine can be imposed.

Border Measures

- Seizure and detain of counterfeit goods at checkpoints during exports and imports.

H.5 Important Case Studies — Trade Marks

Case	Issue	Principle / Outcome
Cadila Health Care v. Cadila Pharma (2001)	Similar drug names 'Falcitab' vs 'Falcigo'	Deceptively similar marks on drugs create health risk — restrained.
Amul v. Amulya (2001)	Amulya — phonetically similar to Amul for dairy products	Passing off action succeeded — goodwill of AMUL protected.
Bata India Ltd. v. Pyarelal (1985)	Defendant used packaging deceptively similar to Bata	Injunction granted — passing off + infringement.
Reckitt & Colman v. Borden (1990)	Jif Lemon bottle shape copied by Borden	Classic passing off — injunction granted to Jif Lemon.